

9708/13/m/j/17

1-D:

Ceteris paribus involves **keeping all factors constant, or taking one into isolation, for example: price effect.**

A-The rate of increase in wage rates when equals the rate of increase in price levels represents that the real incomes are unchanged .No-where, it is an example of the use of ceteris paribus.

B- If there is a constant rise in both wage rates and price , this does not present ceteris paribus, as with ceteris paribus, only one variable is varied.

C- Not all factors have to remain unchanged, at least one of them have to be varied to analyze the impact of each variable in isolation.

D- Yes, when the only change is the change in price to view the impact on wages ,and when all other factors are held constant, this explains 'ceteris paribus', thus making it correct

2-B:

A- Positive statement can be any statement that is based on facts and it does not always have to be in terms of statistical data. For e.g.: An increase in price brings a contraction in qty demanded is a positive statement.

B- Yes, positive statements can be tested for their validity and therefore they can be proved or disapproved, that is, an answer inform of yes or no can be obtained.

C- No, a positive statement is not the only basis of economic policy.

D- No, it does not always have to override any normative statement

3-A:

The maximum output of good Y that can be produced is 150 units. Whereas, the maximum output of good X that can be produced is 150 units.

Currently the output combination is 100 units of good X and 110 units of good Y

The opportunity cost of X will be in terms of Y

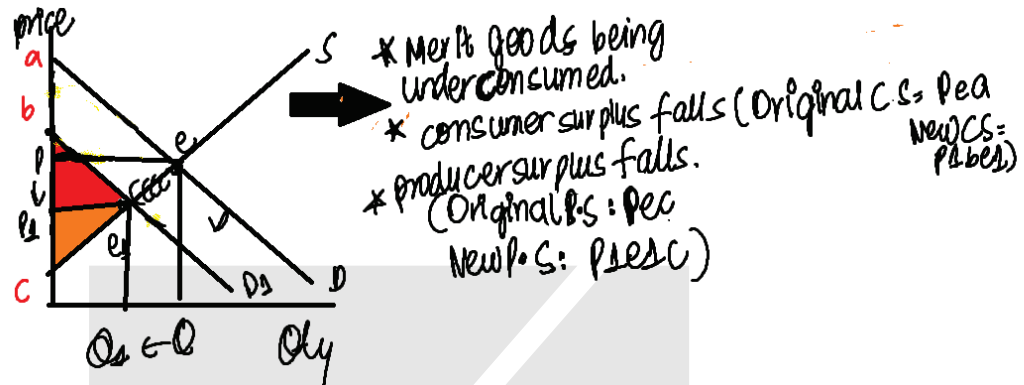
Currently 110 of Y is being produced, but 150 could have been produced , which means that 40 units of good Y will have to be foregone.

This is why, option A becomes correct

4-D:

A- Free goods are not offered for sale at loss making price. Due to them being in unlimited supply, and in abundance , there is no basic principle of scarcity that exists, which means no allocative mechanism such as price mechanism can be used. In principle , no prices are charged for them.

- B- Since merit goods are in less demand due to consumers not being able to realize their true benefits, the willingness to pay is very less, which contributes to a reduced consumer surplus. And as a result of surplus, when prices fall, the producer surplus falls as well, thus making it correct. This can be seen below:



- C- This is incorrect as private goods are scarce, and due to the scarcity, choices have to be made that results in "opportunity cost"
- D- This is correct as the benefits of public goods can be conferred to others with no extra production cost. In their case, the free rider problem exists, that occurs when people take advantage of being able to use a collective good without paying for it, as the citizens of a country utilize public goods without paying their fair shares in taxes, which makes it correct

5-A:

- A- The demand curve is usually downward sloping because of the concept of diminishing marginal utility, as the additional satisfaction an individual obtains from a good, decreases as consumption increases.
- B- No, according to the concept of diminishing marginal utility, the additional satisfaction an individual gains from consumption declines as more of the good is consumed rather than an increase in income.
- C- The fact that limited income is used to satisfy unlimited wants represents the "basic economic problem" rather than being the reason of why the demand curve is downward sloping.
- D- This is incorrect as when the qty purchased or in other words, the demand rises, the prices of the goods rise.

6-A:

Here, it is required to select an option that results in a decrease in demand

A: A fall in incomes worldwide would result in a fall in demand for the good, which would make this option correct.

B: A fall in costs of producing coffee would result in a rise in supply of Ethiopian coffee.

C: A rise in output from Ethiopian coffee harvests would result in a rise in supply.

D: If the price of coffee produced in Kenya rises, there will be a rise in demand for Ethiopia's coffee, which is a substitute good, due to a "positive relationship" between the price of one good and the demand for another in case of substitutes.

7-C:

Curve 3 represents elastic demand as in case of elastic demand, a fall in price results in a rise in total revenue, due to it resulting in an extension in qty demanded by a relatively higher percentage.

Curve 2 represents perfectly inelastic demand as the line beginning from origin represents that the percentage change in price is equal to the percentage change in revenue, since a rise in price after leaving qty demanded unchanged would result in a rise in total revenue by the same percentage a rise in price was brought by.

Curve 1 represents unitary elastic demand as in case of unitary demand, any changes in prices brings an equal percentage change in qty demanded in the opposite direction, leaving Total Revenue unchanged.

This is why C will be correct.

8-C:

A: The case of perfectly elastic supply represents that at any price above 10 dollars, qty supplied will be infinite due to "perfect availability of resources"

B: At any price below 10, quantity supplied will be zero, making this incorrect

C: This is correct as at price 10, the firm will be able to supply any quantity.

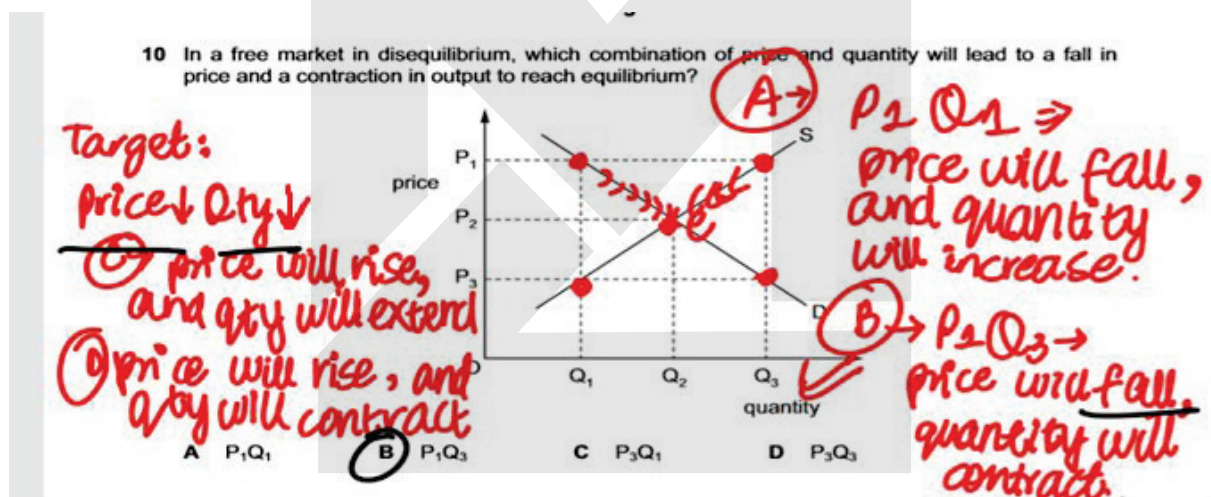
D: This is incorrect because at price 10, the firm will not break even as in-order to determine that we need data about costs and revenues

9-C:

* $Q = 2P + 10$, when price = 15, quantity supplied will be 40
 * When price = 10, quantity supplied will be 30
 * $PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}}$
 * $\% \Delta \text{ change in } QS = \frac{30-40}{40} \times 100 \rightarrow \frac{1}{4}$
 * $\% \Delta \text{ change in price} = \frac{10-15}{15} \times 100 \rightarrow \frac{1}{3}$
 * $PES = \frac{\frac{1}{4}}{\frac{1}{3}} = \frac{3}{4}$
 * Option C $\Rightarrow \frac{2}{3}$ to $\frac{3}{4}$

* $\% \Delta \text{ change in } QS = \frac{40-30}{30} \times 100 \rightarrow \frac{1}{3}$
 * $\% \Delta \text{ change in price} = \frac{15-10}{10} \times 100 \rightarrow \frac{1}{2}$
 * $PES = \frac{\frac{1}{3}}{\frac{1}{2}} = \frac{2}{3}$

10-B:



11-B:

A: Higher prices as a result of a fall in supply would result in an increase in the demand for substitutes since there is a positive relationship between the price of one good and the demand for another in case of substitutes.

B: Yes, this is correct as an increase in price will result in a contraction in qty demanded.

C: No, as a result of a rise in costs, there will be a decrease in the factors employed in the industry.

D: Whether or not the revenue falls upon a rise in price depends upon price elasticity of demand, that is, by how much consumers contract their quantity demanded.

12-A:

A market supply curve is the combination of individual supply curves in a market, there is a firm that is firm X whose output constitutes a smaller percentage of total output, we are asked as to what will cause the supply of firm X to increase, while the supply of market to decrease or in other words, the supply of other firms in the market to decrease except for this firm X

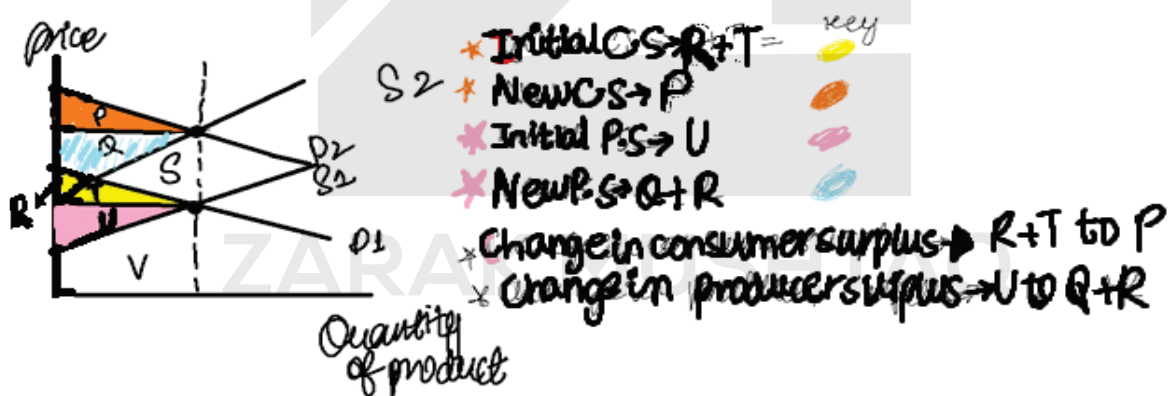
A-Improved technology in Firm X might enable an increase in efficiency and these technical economies of scale may cause a fall in per-unit average costs of production, thereby causing an increase in supply, whereas, all other firms having high input costs will increase the cost of production of all other firms who constitute a greater proportion of market supply, thus causing the market supply to decrease, this is why this is correct.

B-Increase in regulation that is Firm X having to pay heavy fines may increase costs of firm X if it pollutes, thus reducing supply of X, and tax reduction experienced by other firms leads to a reduction in total costs and an increase in market supply, thus making it wrong.

C-Firm X's involvement in strike or industrial disputes leads to a loss in working hours, thereby reducing the supply. While other firms entering to the industry refers to a rise in supply, thus making this incorrect.

D-A rise in interest and rent leads to an increase in total costs of firm x causing the supply to reduce, whereas other firms being subsidized leads to an increase in the total market supply due to fall in their costs of production.

13-B :



The above diagram shows why option B is correct.

14-D:

D – When maximum price legislation is removed , prices will rise back to the equilibrium, making price mechanism operational. This means that resource allocation will be done through the price mechanism, that is, when prices are determined by the market forces of demand and supply where prices provide a signal to the producer to allocate scarce resources among competing uses in a profit maximizing manner .**Thus making option D correct**

Options A , B and C represents the scenarios that will exist if the maximum price exists

As because of shortages, there would have been distribution done through the queuing system , or there would have been need for government rationing.

This would have led to resource allocation being done through seller preferences as if it is operational, then sellers may choose to discriminate amongst friends and family and regular customers.

15-B;

A- WXYZ would be further divided into consumer and producer burden to obtain the region of the consumer tax burden

B- Yes, per unit tax is the vertical distance between the two supply curves , which when multiplied with new equilibrium qty would have led to the area of “government tax revenue” being obtained, which is inclusive of both: consumer burden and producer burden, making this correct. This is shown through **WXYZ**.

C and D: Had it been anything related to subsidy, the supply curve would have shifted rightwards.

16-C:

The formula for total government spending on subsidy is per unit subsidy* new qty sold.

The per-unit subsidy is “\$4”, as stated in the question

Before subsidy the equilibrium was at price 10, where qty demanded and qty supplied equaled to 100.

Now, after subsidy the equilibrium price is at price 8. Where equilibrium qty (qty demanded and supplied equaled 120)

Therefore , we will multiply “4” with “120” which gives 480

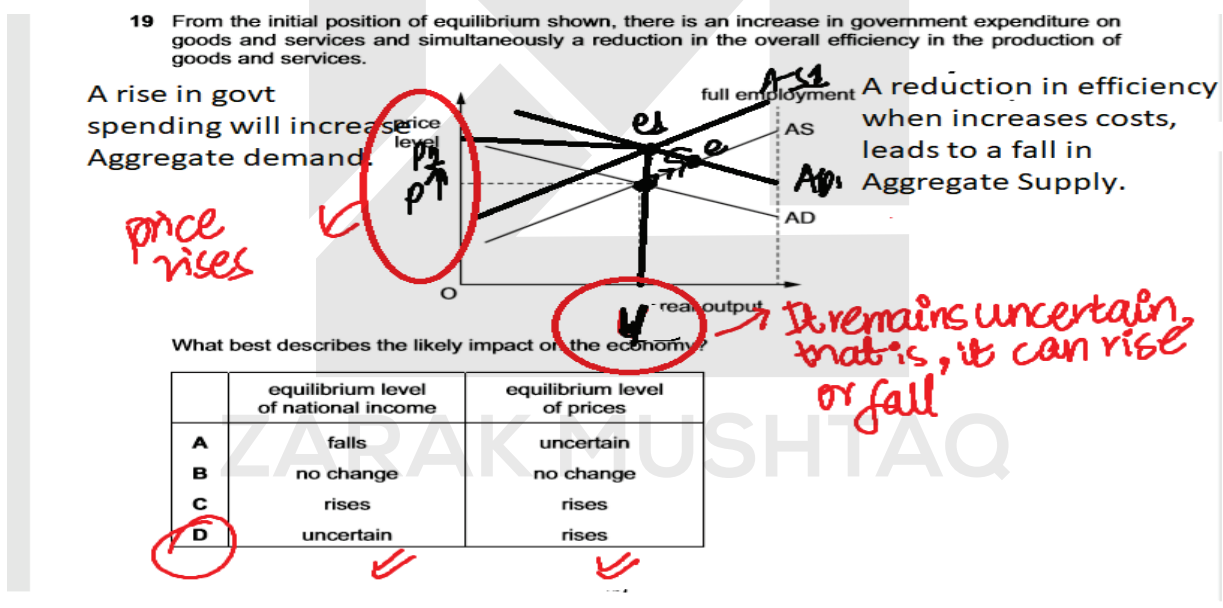
17-C:

- A- A transfer payment is a payment made without goods and services being received in exchange. A fee paid for a service supplied is an example of , a transfer payment.
- B- Again, if the government is paying to the private sector firms in return for their services, this is not a transfer payment
- C- A pension payment is an example of a transfer payment as no contribution is made to the output by the retiree, neither is any good or service is received in exchange.
- D- A salary payment again is in return for the services of the employee, which makes this incorrect.

18-A:

- A- The fact that private sector firms are likely to put customer needs before profits is never going to happen, thus making it the “correct option here”, as private sector producers who operate with the objective of profit maximization put self-interest first.
- B- The fact that private sector firms will raise their own capital is most likely to happen.
- C- Yes, due to the existence of profit motive, the level of incentive for the enterprises will be higher
- D- Yes, a higher competition after privatization may be indicative of the fact that the number of firms operating has increased.

19- D:



20-B:

Aggregate demand means Aggregate output that is the total amount of output produced and supplied in the economy in a given period/or Aggregate Income which is the total amount of income received by all factors of production in an economy in a given period/ or Aggregate

expenditure that is the sum total of all the expenditures undertaken in the economy. (output = income = expenditure)

Since now we know that Aggregate output represents Aggregate demand, it can be said that the curve shows how much of Aggregate output is demanded at each price level. (similar to a demand curve, which shows how much of quantity is demanded at a particular price level), thus making B the answer.

21-D:

A: Since there is a percentage increase in average price level throughout the period, it will be wrong to say that prices fell over the first half of the period.

Why D and why not B, C, D? This is explained below:

* year	% change	Total % change	
2009	18.0	18	
2010	11.7	$18 + 11.7 \Rightarrow 29.7$	Price level lowest → start of the period
2011	8.6	$29.7 + 8.6 \Rightarrow 38.3$	
2012	4.6	$38.3 + 4.6 \Rightarrow 42.9$	
2013	4.9	$42.9 + 4.9 = 47.8$	
2014	6.1	$47.8 + 6.1 = 53.9$	
2015	4.5	$53.9 + 4.5 = 58.4$	Price level highest → end of the period

22-A:

Since India is receiving inflows of profits from its companies based in the UK, it will be receiving profits that will be recorded as a **credit under the primary income section of the current account**.

And since, it purchased a US owned firm, this represents an outflow, which will be recorded as a **debit item in the financial account**

23-A:

We are interested in an option that causes a leftward shift in the demand curve for currency and a rise in supply of currency.

- A- A decrease in price levels of other countries when makes exports uncompetitive would lead to a fall in export revenues, leading to a "leftward shift in the demand curve" since less payments will now be received. Whereas, due to imports being cheaper, import expenditures of consumers will rise, and since more payments are made, there is an "increase in supply of the currency"
- B- Depreciation is a net effect and not a cause
- C- A reduction in the level of import tariffs would result in a fall in import expenditures and in turn a rise in supply of the currency, but this becomes incorrect since it only affects the supply and has no demand effect.
- D- An increase in UK interest rates would have attracted hot money inflows ,subsequently leading to a rise in the demand of the currency. And, it would have led to a fall in the supply of the currency due to greater incentives to invest in the domestic economy, making this incorrect.

24-C:

$$\begin{aligned}
 \textcircled{A} \quad & \frac{100}{90} \times 100 = 111.1 \\
 \textcircled{B} \quad & \frac{100}{110} \times 100 = 90.9 \\
 \textcircled{C} \quad & \frac{90}{100} \times 100 = 90 \\
 \textcircled{D} \quad & \frac{90}{110} \times 100 = 81.8
 \end{aligned}$$

* Initial index of export prices and import prices is equal to '100'

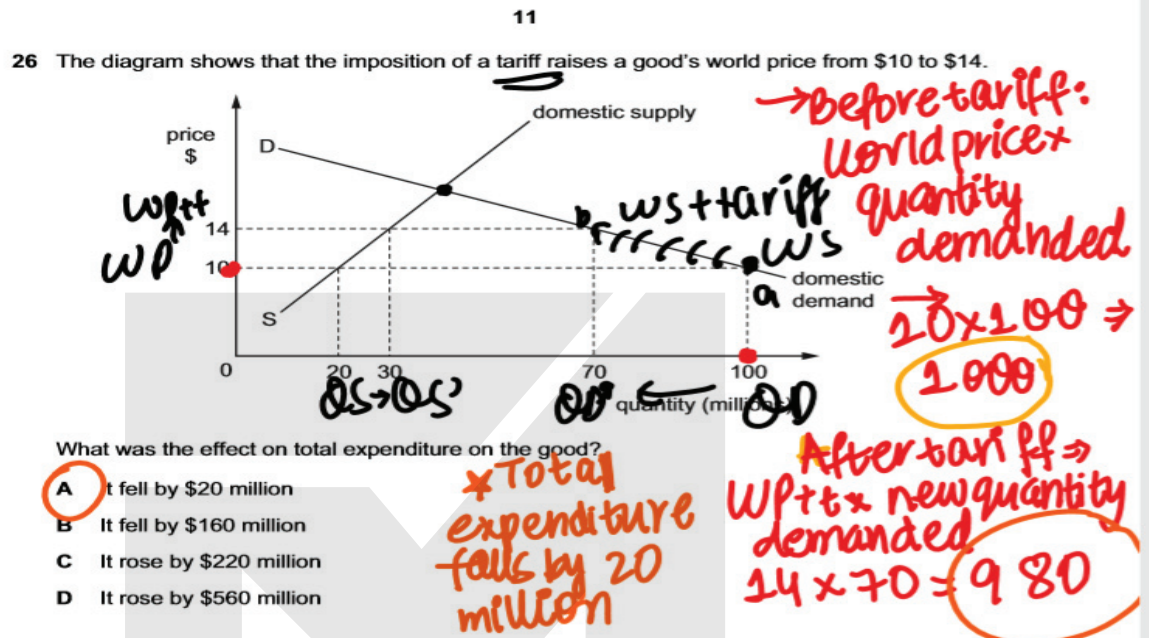
Terms of trade = $\frac{X \text{ prices}}{M \text{ prices}} \times 100$

Option C will be correct, since the new TOT is 90.

25-D:

- A- If Kenya uses some of it land on which tea is planted for olives production, it will lose its comparative advantage in tea production, thus making it incorrect
- B- This is incorrect as the "company's revenue would be uncertain"
- C- No, exports may still be done and as said in the question, these can be sold for higher prices, this means that we cannot say if there was a decrease in the "credit side" of the trade in goods and services.
- D- Yes, this is absolutely correct as Kenya will lose the comparative advantage because now it will no longer be specialized , thus an "opportunity cost" is given existence to.

26-A:



27-C:

Reduction in protectionism means a move towards free trade is occurring.

- A- An increase in product safety standards represents "bureaucratic red tapes", which will make protectionism stricter.
- B- An increase in subsidies to domestic firms will again increase protectionism
- C- An increase in level of import quotas would reduce protectionism as earlier 250 cars were allowed to be imported and now 500 cars can be, which means that more of the good is allowed to be imported.
- D- An increase in the rate of import duties or tariffs will increase protectionism.

28-C:

Deflationary fiscal policy represents contractionary fiscal policy, which is aimed to decrease Aggregate demand.

- A- Reducing interest rates is an example of an expansionary monetary policy
- B- Reducing the money supply is an example of a contractionary monetary policy
- C- Increasing taxes will reduce the disposable income, leading to a fall in consumption expenditure and in turn a fall in Aggregate demand, making this correct
- D- Increasing government expenditure is an expansionary fiscal policy aimed at increasing Aggregate demand.

29-A:

- A- An increase in the rate of income tax is an expenditure dampening policy. Another example of expenditure switching policy is devaluation of currency
- B- An increase in the rate of value added tax is not an expenditure dampening policy, although import quotas is an example of an expenditure switching policy
- C- Devaluation of the currency is not an expenditure dampening policy ; instead, it is an expenditure switching policy, although an increase in the rate of value added tax is an expenditure switching policy.
- D- Imposition of import quotas is not an expenditure dampening policy; instead it is an expenditure switching policy. Whereas, an increase in the rate of income tax is not a switching policy; instead it is a dampening policy

30-D:

- A: This is incorrect as there is never deflation. Deflation is a sustained and a persistent fall in general prices.
- B: The inflation target was **achieved more frequently** than the employment target since it is close to the target inflation rate
- C: This is incorrect as the **most successful period for economic policy** was achieved in **2007**.
- D: Yes, this is absolutely correct as the nearest to complete policy success was experienced in 2008.

ZARAK MUSHTAQ